

BUY (Initiating Coverage)	CMP INR 49.96	Target Price INR 120	Upside 140%
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Veerhealth Care

“USFDA-Approved Small-Cap Pivoting from Domestic Contract Manufacturing to Global Exports”

Summary

Veerhealth Care Limited is a **niche BSE-listed Ayurvedic and cosmetics manufacturer transitioning from domestic contract manufacturing to global exports**, anchored by its rare USFDA clearance (June 2025) for its Drug OTC segment — a significant barrier to entry for a company of its size. **Revenue grew 93% in FY26 and is guided to scale further to INR 130 Cr in FY27E and INR 182 Cr in FY28E, with EBITDA margins expanding from ~7.5% to ~11.8% and PAT rising from INR 0.5 Cr to INR 15.8 Cr over the same period, a trajectory already validated by Q1FY27's ~4.5x YoY revenue growth.** Near-term catalysts include advanced export negotiations (Russia, EU trade deal benefits) and a nascent, high-margin Hospital Care equipment division. At current levels the stock trades at a discount to peers like Dabur India and Marico on P/E and P/S, and we initiate coverage with a BUY rating and a target price of INR 120 (from CMP INR 49.65), implying ~142% upside.

Y/E March (INR Cr)	FY26	FY27E	FY28E
Revenue	32.4	130.0	182.0
EBITDA	2.4	13.28	21.51
EBITDA Margin (%)	7.4	10.2	11.82
PAT	0.5	9.14	15.82
PAT Margin (%)	1.5	7.03	8.69

Key takeaways

➤ Securing **USFDA clearance for its Drug OTC segment products in June 2025 serves as a massive technical and regulatory barrier to entry. Globally, very few small-cap companies have achieved a USFDA-cleared plant**, placing Veerhealth Care in a highly distinctive competitive category. This audit closure under 21 CFR 20.64(d)(3) positions the company to compete directly with larger multinational players and attract high-volume institutional export orders.

For a company of Veerhealth's scale (~₹99 crore market cap, ~₹32 crore FY26 revenue), **USFDA approval for its Drug OTC segment is a disproportionately significant achievement — it's a certification that most SME/micro-cap FMCG-pharma peers in India simply don't hold, given the capex, documentation rigor, and cGMP-compliance costs involved are large relative to a company this size's balance sheet, making it a genuine entry barrier** rather than a box-ticking exercise. It effectively acts as a **regulatory moat, differentiating Veerhealth from the crowded, largely unbranded/unaccredited contract-manufacturing peer set it would otherwise compete against purely on price.**

Practically, it **opens the door to the US OTC market — the world's largest regulated pharma/personal-care market — which is already visible in its order book (the New York-based export order), and lends credibility when pitching to larger domestic FMCG groups and international buyers who specifically screen for FDA-compliant facilities before awarding contract-manufacturing business.** This should, in principle, support better pricing power and stickier, higher-quality client relationships than a purely domestic, non-certified peer could command.

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MARKET DATA	
Exchange / Code	511523
Market Cap (INR Cr)	99.9
52-Week Range	16 - 52
Free Float (%)	60.76%
SHAREHOLDING (%)*	
Promoters	31.91%
Public / Others	68.09%
<i>There is an increase in Promoter shareholding by way of Open Market Purchases by One of the Promoters and also on account of warrants infused by the Promoters which also reflects the confidence of Promoters on the business going forward (Positive sign for Investors).</i>	

- Focus on **“Ayurveer brand”**. Ayuveer is a vegan, cruelty-free and affordable personal care brand, Ayuveer is positioned to pursue sustainable growth and build a stronger consumer-focused B2C business for Veerhealth Care Limited. (Refer Section 2 – Strategy and Growth levers).
- The company is undertaking a **comprehensive expansion and modernization program aimed at significantly increasing its manufacturing, storage, filling, and packaging capacities**. The **Company has invested INR ~32 Crs in the business by way of Internal accruals, Preferential allotment and borrowings**. (Refer Section 3 – Capacity Expansion details).
- Focus of the Company on **niche Hospital care division where it is providing high-value medical equipment including Critical care & Life Support, Imaging & Operating room, etc. and is expect to generate Higher margin for the company**.

1. Products, Services and Technology

Comprehensive Product Portfolio

The operational core of Veerhealth Care centers on the research, manufacturing, and marketing of research-based Ayurvedic and cosmetic formulations. The company categorizes its manufacturing capabilities across **three primary licensing categories, which collectively allow it to offer regular and premium daily care products**.

➤ Ayurvedic and Herbal Medicine Segment:

Under its Ayurvedic manufacturing license, the **company manufactures oral liquids, tablets, powders, and ointments targeting both chronic and non-chronic therapeutic areas**. Under this license, the company also performs **high-volume contract manufacturing**, such as producing gripe water for Babuline Pharma. Veerhealth Care also manufactures products for prominent national and international brands, including Apollo Pharmacy, davaindia, Godrej Consumer Products, BobBarker (America's leading detention supplier), Quest Healthcare, Zota healthcare Ltd., Sakar healthcare Ltd., Kayteestar Group, Aster Pharmacy, Bril, Amyras, Homeo Laboratories, Graciera Pharmaceuticals and Median Healthcare.

The Indian AYUSH manufacturing and services industry has experienced robust growth, with the manufacturing segment alone reaching USD 18 billion in 2020 and expanding to USD 24 billion by 2024. According to data from the IMARC Group, the sector is projected to register a Compound Annual Growth Rate (CAGR) of approximately 17% during the 2024-2032 period.

On a broader scale, the overall AYUSH sector is on track to achieve a valuation of USD 70 billion by 2025.

Key Growth Drivers - Rising chronic-disease burden and preventive-health mindset; COVID immunity focus; e-commerce/D2C penetration; growing Western mainstream acceptance of herbal formulations.

➤ Cosmetic and Personal Care Segment:

This segment encompasses **hair care, skin care, body care, and oral care categories**. Veerhealth Care has developed 42 distinct product lines under its cosmetic license, which are marketed through its proprietary D2C brand, "Ayuveer," as well as through contract manufacturing for **domestic pharmacy giants like Apollo Pharmacy, davaindia, Sakar Healthcare, Zota Healthcare and Aster Pharmacy**.

The Current Total addressable market of this segment amounts to USD 23.7 billion as of 2025. Historically, the market has grown at a rate of 8-12% between 2020-2025 and is expected to grow at a similar pace for the next 5 years and expected to reach USD 35-40 billion.

Key Growth Drivers - Rising disposable income and urbanization; herbal/Ayurvedic "clean beauty" crossover (directly benefits Veerhealth's positioning); e-commerce and quick-commerce penetration; premiumization; government PLI-type schemes supporting domestic manufacturing.

➤ Disinfectant Segment:

The company utilizes its disinfectant manufacturing license to formulate floor cleaners and fabric disinfectants for private label clients.

The Current Total Addressable market of this segment as on 2025 stands at USD 1.41 Billion. Historically grown at high Single digit to low double digit growth once the 2020-21 pandemic spike is excluded.

Key Growth drivers - Sustained post-pandemic hygiene awareness; expanding healthcare infrastructure (more hospital beds = more institutional disinfectant demand); government sanitation initiatives (Swachh Bharat-linked institutional procurement); hospitality and food-processing sector hygiene compliance.

➤ Hospital Care Division:

Launched in December 2024, this division expands the company's service scope to **critical medical equipment**. Partnering with **leading critical care exporters**, this division markets **life-support and operating room equipment**, successfully delivering its first batch of **ventilators, defibrillators, and infusion pumps** to a government organization.

The **niche here is meaningful: life-support and operating-room equipment is a high-value, low-competition category relative to Veerhealth's crowded FMCG-contract-manufacturing core, and India's structural under-penetration in domestic device manufacturing (75-80% import dependence) gives a well-positioned distributor real headroom, especially with Ayushman Bharat-driven hospital demand and PLI-scheme tailwinds behind it.**

It is a **"high-margin" division — logically so, since a capital-light distribution/marketing model on critical, specification-driven equipment should carry better economics than commoditized personal-care contract manufacturing.** Importantly, **management is described as "increasingly prioritizing" this segment**, which is worth tracking closely — it's currently a small, unproven bet, but if it scales the way management's stated focus suggests, it could meaningfully shift the company's overall margin mix.

India medical devices market has grown at a high-teens CAGR historically (IBEF cites ~16.4% CAGR 2022-2030 trajectory); recent syndicated forecasts are more conservative (6-12% CAGR range).

5 Year forecast TAM – USD 18-20 billion (2026) expected to cross the range of USD 27-32 billion by 2031 across most estimates. Government's National Medical Devices Policy 2023 explicitly targets a US\$50 billion domestic market by 2030.

Key growth Drivers - Ayushman Bharat insurance-led hospital demand growth; PLI scheme incentivizing domestic device manufacturing (reduces India's current 75-80% import dependence); government e-marketplace (GeM) procurement — which Veerhealth has already registered on; expanding tier-2/3 hospital infrastructure.

Unique Selling Propositions and Proprietary Formulations

Veerhealth Care differentiates itself from generic market offerings through **specialized product attributes and targeted development processes.**

➤ Pure Vegetarian Oral Care:

The company **specializes in manufacturing pure vegetarian, herbal-grade toothpaste, which is formulated without animal-derived ingredients and serves as a major export driver to Western and African markets.** This oral care range uses traditional herbal extracts and natural oils to promote hygiene without the harsh chemical profiles of standard commercial toothpastes.

➤ Dr. Vinod C. Mehta and Dr. Rajiv Bhirud Guidance:

Formulation development is led by industry specialists. Dr. Vinod C. Mehta, a BAMS-qualified Ayurvedic practitioner with over 35 years of clinical experience, directs the formulation of herbal remedies. Dr. Rajiv Bhirud, holding a Ph.D. and bringing 40 years of cosmetics formulation experience, leads the personal care product development team.

➤ **Clean and Cruelty-Free Claims:**

All products manufactured under the Ayuveer brand **are 100% natural, cruelty-free, and are not tested on animals**, directly addressing the growing global consumer preference for ethical and conscious cosmetics.

R&D Infrastructure and Intellectual Property

The company's capability to innovate and customize is supported by dedicated internal laboratory facilities.

In-House Testing Facilities: The Vapi manufacturing plant houses **four dedicated laboratories**: an R&D Lab, a Microbiology Lab, a Stability Testing Lab, and a Physico-Chemical Lab. This R&D infrastructure allows the company to test and deliver stability-tested formulations that are designed to perform reliably across different regional climates.

Backward Integration and Packaging Capabilities

A key technical differentiator for Veerhealth Care is its packaging division, "**Veer Plast**," which functions as an internal cost-control mechanism.

➤ **Veer Plast Molding Division:**

Rather than relying entirely on third-party packaging, the company operates **in-house blow molding and injection molding machines to manufacture feeding bottles, HDPE containers, plastic jars, and caps**. This backward integration allows the company to produce packaging materials internally, **reducing turnaround times, mitigating supply chain disruptions, and boosting overall profitability**.

➤ **Oral Care Tufting Integration:**

To support exports in the oral care category, **Veerhealth Care has integrated automatic and semi-automatic brush tufting and trimming machinery directly into its manufacturing facility**. This setup allows the company to supply complete oral care solutions, including both toothpaste and toothbrush manufacturing, under a single roof.

Distribution and Marketing Differentiators

The company employs a hybrid distribution model to market its proprietary products.

➤ **Omnichannel D2C and Marketplace Distribution:**

The Ayuveer brand operates on a D2C model and has completed onboarding on major Indian e-commerce portals, including Nykaa, Myntra, Amazon, Flipkart, Jiomart, and Glowroad.

- The company plans to continuously focus on online marketing and e-commerce platforms like Amazon, Flipkart, and Nykaa to scale its own brand, "Ayuveer," in parallel with its manufacturing expansion.

2. Strategy and Growth Levers

Core Strategic Priorities: The "Local to Global" Vision

Veerhealth Care has anchored its long-term strategy on a **transition from local manufacturing to a globally recognized exporter of vegan Ayurvedic and herbal cosmetics**.

The primary catalyst for this shift was successfully closing a USFDA audit and subsequently securing USFDA registration for its registered Drug (OTC) products in June 2025. Management expects this regulatory clearance to place the company in a highly distinctive small-cap category globally, enabling direct competition with larger multinational players.

Key Growth Levers and Facility Expansion

To service this projected demand, Veerhealth Care is executing a multi-pronged expansion of its physical and operational infrastructure.

➤ Focus on Ayurveer brand:

Ayurveer is a vegan, cruelty-free and affordable personal care brand, offering a wide range of everyday personal care and beauty products designed to meet the evolving needs of modern consumers.

As part of its growth strategy, the Company is undertaking a **comprehensive rebranding and product redesign initiative for Ayurveer, including refreshed product packaging and a contemporary visual identity** aimed at creating a stronger and more distinctive presence in the market.

The Company is also working on **expanding Ayurveer's product portfolio by introducing multiple new SKUs across various personal care and beauty categories**. This broader product offering is intended to address diverse consumer requirements and strengthen the brand's presence across different segments of the market.

Backed by Veerhealth Care Limited's manufacturing capabilities and industry expertise, Ayurveer focuses on delivering quality, accessible and value-driven products to consumers. The brand aims to **strengthen its presence across online and offline channels** while expanding its reach in the growing Indian personal care market.

With its **focus on vegan, cruelty-free and affordable products, combined with a refreshed brand identity and an expanding product portfolio, Ayurveer is positioned to pursue sustainable growth and build a stronger consumer-focused B2C business for Veerhealth Care Limited.**

Ayurveer products are currently available for purchase through Myntra's e-commerce platform, as well as other leading online marketplaces such as Amazon and other digital commerce platforms.

As part of its expansion strategy, the brand plans to further strengthen its online presence by expanding across additional leading e-commerce and marketplace platforms, making Ayurveer products more accessible to a wider customer base across India.

In Current F.Y. 2026-27 the additional sales of Ayurveer Brand is expected to reach to around ₹ 2 crores. In F.Y. 2027-28 the additional sales of Ayurveer Brand is expected to reach to around ₹ 5 crores.

In the recent Press release the company has announced that the company has entered into Supply agreement with a Company having an Indo-Canadian joint venture who is one of the world's largest manufacturers of luxury amenities, serving 15,000+ hotels and 20+ airlines across 70+ countries. They offer a portfolio of global luxury brands and premium amenity solutions, designed to meet the evolving needs of hotels and airlines worldwide. With the signing off this Supply Agreement, company would be manufacturing and supplying oral care products to Indian, USA & Canada market. Accordingly, the Company has received its first purchase order for oral care range of product for 3,95,000 pcs to be supplied in tubes and sachets for worth INR 10 Lakhs.

➤ Manufacturing Capacity Expansion:

The company announced a **major facility expansion at Vapi, Gujarat, acquiring an additional 27,451 sq. ft. of adjacent land. This expansion brings the total plot area to 58,623sq. ft. and increases the total constructed area from 60,000 sq. ft. to 90,000 sq. ft.** The upgraded facilities are designed to comply with CGMP norms as required by the US FDA, positioning the company to handle high-volume export orders from the US and African markets.

➤ Operational Integration:

To improve margin efficiency, the **company has integrated automatic and semi-automatic brush tufting and trimming machinery to complement its oral care export segment.**

➤ Backward Integration via Veer Plast:

To secure packaging supply chains and improve cost-effectiveness, the company established a new division called Veer Plast. This division integrates in-house plastic blow molding and injection molding machines to manufacture packaging materials directly on-site.

➤ **Omnichannel E-commerce Footprint:**

Expanding brand visibility for its proprietary "Ayurveer" brand is another vital growth lever. The company successfully completed onboarding on Myntra, expanding its digital presence to include all major e-commerce platforms such as Amazon, Flipkart, Nykaa, Glowroad, and JioMart.

Strategic Partnerships and Order Pipeline

The validation of Veerhealth Care's expanded capacity is reflected in its **recent domestic and international order pipeline**.

➤ **FMCG and Retail Client Onboarding:**

The company secured a **prestigious contract manufacturing order valued at INR 10.08 Crore from a prominent 125-year-old business group** operating in the personal and household care segment. Additionally, the company has secured a repeat sample order for skin care products from this same client under a newly designed MRP structure to facilitate market expansion **amounting to INR 18.24 Crore**.

➤ **International Footprint:**

The company secured its **first strategic entry into the Sudan market** with an export order for pediatric Gripe Water valued at INR 15.74 Lakhs. Orders from **New York -based Company for supply of body care products for a value aggregating to INR 2.93 Crore**.

➤ **Domestic Pharmacy Networks:**

The company continues to bolster domestic visibility by **securing orders from prominent retail pharmacy chains, including a domestic chain order of INR 1.70 Crore**.

➤ **Veerhealth Care has received order worth INR 26.80 crs in FY'27.**

Summary is provided below.

Particulars	Amount (INR Crs)
Orders from FMCG Companies	22.60
New York based company	2.93
India's Leading large Retail network of pharmacies and healthcare company	1.11
Sample Order for Gripe Water from Sudan Market	0.16
Total Order book	26.80

3. Capacity Expansion details

The company is **undertaking a comprehensive expansion and modernization program aimed at significantly increasing its manufacturing, storage, filling, and packaging capacities**. The proposed investments in infrastructure, machinery, automation, and renewable energy are expected to improve operational efficiency, reduce turnaround time, increase production volumes, optimize costs, and support the company's targeted growth in turnover and profitability.

➤ **Expansion of Packaging Material Storage Capacity:**

The company proposes to construct a complete 15,000 sq. ft. second floor on Plot No. 225. The additional space will primarily be utilized for the storage of packaging materials.

The expanded storage capacity will enable the company to maintain an additional 30-45 days of packaging material

inventory. This will ensure uninterrupted availability of essential packaging materials and facilitate smoother production planning and execution. Maintaining adequate inventory levels will also reduce the risk of production interruptions arising from delays in procurement or supply-chain constraints.

➤ **Expansion of Cosmetic Manufacturing Capacity:**

As part of the expansion of the Cosmetic Division, the company plans to install a 5,000-litre large-volume mixer. The new mixer will substantially enhance the manufacturing capacity of the division and is expected to enable production at approximately double the existing volume capacity.

The increase in bulk manufacturing capacity will be complemented by investment in high-speed automated filling, capping, and labelling lines. These automated systems will significantly improve production efficiency, reduce manual intervention, and increase throughput.

With the proposed capacity enhancement and automation, the company expects to increase its daily output from approximately 50,000 bottles per day to 1,10,000 bottles per day.

➤ **Additional Filling Capacity in Liquid Division:**

An additional filling machine has been added to the Liquid Division. This investment is expected to substantially reduce the turnaround time between manufacturing and finished-product packing.

With the additional filling capacity, the company expects to increase its production capability from approximately 1,000 liters per day to 2,000 liters per day, effectively doubling the current daily filling capacity.

This enhancement will enable the company to process customer orders more efficiently and improve delivery timelines.

➤ **High-Speed Tube Filling Machine:**

The company has also procured a high-speed tube filling machine with a capacity of approximately 100 tubes per minute (100 TPM).

The installation of this machine will substantially increase the tube-filling capacity and enable the company to fulfil customer orders at a significantly faster rate. The increased throughput is expected to improve order execution, reduce production lead times, and support the company's objective of increasing overall turnover.

➤ **Expansion of Solar Power Capacity:**

In line with its focus on energy efficiency and sustainable manufacturing, the company plans to significantly increase its existing solar power connectivity from 120 kW to 500 kW.

The proposed increase in solar capacity is expected to generate substantial savings in monthly electricity expenditure, estimated at approximately INR 2–3 lakh per month, subject to actual generation and consumption patterns. Apart from reducing the company's dependence on conventional grid electricity, the expansion of renewable energy capacity will contribute towards:

Reduction in recurring power costs. Improved control over manufacturing overheads. Greater energy efficiency. Increased use of renewable and green energy. Reduction in the company's overall carbon footprint.

Financials impact of the expansion:

EXPANSION PLAN OVERVIEW - Rs. 32.00 Cr

***1. Project Cost Breakup: ***

- Plant & Machinery: 11.88 Cr (37.1%)
- Buildings: 5.50 Cr (17.2%)
- Office Equipment: 4.50 Cr (14.1%)
- Furniture & Fixture: 1.68 Cr (5.3%)
- Computer & Software: 1.51 Cr (4.7%)
- *Working Capital: 6.93 Cr (21.7%)
- Total Fixed Capex: 25.07 Cr

***2. Means of Finance:**

- Preferential Allotment: 20.00 Cr (62.5%)
- Bank Term Loan: 10.00 Cr (31.25%)
- Internal Accruals: 2.00 Cr (6.25%)

The combined impact of increased manufacturing capacity, higher filling and packaging throughput, improved storage infrastructure, automation, and energy-cost optimization is expected to support significant growth in the company's operations. The planned investments are expected not only to increase the company's production and sales capacity but also to improve

operational efficiency. Greater automation will reduce manual intervention, improve productivity, minimize production bottlenecks, and optimize manpower utilization.

Similarly, higher production volumes will enable better utilization of existing infrastructure and machinery, while the increase in solar power capacity is expected to reduce recurring energy costs. These factors, collectively, are expected to contribute towards lower operating expenses and improved profit margins.

Conclusion:

The company's proposed expansion represents a strategic investment in infrastructure, manufacturing capacity, automation, storage, and renewable energy. The planned initiatives will enable the company to increase production volumes, maintain adequate inventory levels, respond to customer requirements more efficiently, reduce production turnaround time, and improve overall cost competitiveness. With the implementation of these projects, the company is well positioned to scale its operations substantially and achieve the targeted turnover

The expansion and automation initiatives are also expected to create operating efficiencies and reduce recurring expenses, thereby supporting sustainable improvement in the company's profitability and long-term growth.

4. Financial Performance

Veerhealth care's financial trajectory over the last several fiscal years reflects an initial period of moderate growth followed by a significant scale-up in operations. The historical Profit & Loss (P&L) statements highlight the company's revenue expansion alongside shifting profitability margins

Exhibit 1: Profit & Loss Performance

Particulars (INR Cr)	FY'25	FY'26	FY'27E	FY'28E	3Y	4Y
Revenue from Operations	16.87	32.48	130.00	182.00	78.0%	81.0%
YoY Growth (%)		92.5%	300.2%	40.0%		
Total COGS	11.40	24.15	78.00	105.56		
Gross Profit	5.47	8.33	52.00	76.44	109.0%	93.0%
Gross Profit Margin (%)	32.4%	25.6%	40.0%	42.0%	36.0%	35.0%
EBITDA	0.77	2.46	13.28	21.51	106.0%	130.0%
EBITDA Margin (%)	4.6%	7.6%	10.2%	11.8%	10.0%	9.0%
EBITDA Growth Rate		219.5%	439.8%	62.0%		
EBIT	(0.14)	1.17	10.81	18.74	152.0%	242.0%
EBIT Margin (%)	(0.8%)	3.6%	8.3%	10.3%	7.0%	5.0%
EBIT Growth Rate		(935.7%)	823.9%	73.4%		
PAT	0.39	0.54	9.14	15.82	207.0%	152.0%
PAT Margin (%)	2.3%	1.7%	7.0%	8.7%	6.0%	5.0%
PAT Growth Rate		38.5%	1592.6%	73.1%		
No. of Equity Shares (Cr)	2	2	2	2		
EPS (INR)	0.20	0.27	4.57	7.91		
EPS Growth Rate		38.5%	1592.6%	73.1%		

- The company has witnessed **notable increase in revenue showing a growth of 28% and 93%** in FY'25 and FY'26 respectively.
- We have also considered the **forecasted P&L for FY'27 and FY'28 where management is guiding to improve its financial performance both in terms of topline and on margin side to improve substantially on account of recent changes in business of Veerhealth Care discussed in growth section in below sections.**
- The same is visible from **the recent quarterly update (i.e Q1FY'27) from the company where its has grown its revenue by ~4.5x YoY and PAT by ~4.1x YoY and the EBITDA margin has expanded to ~7.65% in Q1FY'27 from ~(0.81)% which shows a meaningful improvement in performance and confidence to investors to rely on the management's guidance for FY'27 and FY'28.**

Exhibit 2: Balance Sheet trends and related ratios

Assets

Particulars (INR Cr)	FY'25	FY'26	FY'27E	FY'28E	3Y	4Y
Non-Current Assets						
Property, Plant & Equipment	19.87	23.43	25.78	28.36	7.0%	9.0%
Trade Receivables (non-current)	2.52	0.05				
Other Financial Assets	0.26	1.94	2.14	2.35		
Other Non-Current Assets	0.47	0.28	0.33	0.40		
Total Non-Current Assets	25.12	25.70	28.25	31.11	7.0%	5.0%
Current Assets						
Inventories	2.44	4.45	14.25	19.95	65.0%	69.0%
Trade Receivables (current)	0.98	9.74	7.12	9.97	297.0%	123.0%
Cash and Cash Equivalents	1.16	0.46	10.97	28.72		
Loans	2.35	1.88	1.88	1.88		
Other Current Assets	1.72	1.94	2.33	2.80		
Total Current Assets	8.65	18.47	36.55	63.32	51.0%	64.0%
TOTAL ASSETS	33.77	44.17	64.80	94.43	29.0%	29.0%

- The majority of the company's capital is invested in Fixed assets of the company which constitutes ~53% of total assets, after that receivables form ~22% of total assets followed by inventories at ~10% basis FY'26 numbers.
- The company has expanded its Property, Plant and equipment by ~2x in the last 3 years, increasing to INR 23.43 Crs in FY'26 from INR 11.97 Crs in FY'24 and >2x in the last 5 years which corroborates with the aggressive management's guidance from FY'27 and FY'28.

Liabilities

Particulars (INR Cr)	FY'25	FY'26	FY'27E	FY'28E	3Y	4Y
Equity						
Equity Share Capital	20.00	20.00	20.00	20.00	-	-
Other Equity	2.22	2.92	12.06	27.88		
Total Equity	22.22	22.92	32.06	47.88	28.0%	21.0%
Non-Current Liabilities						
Borrowings	4.20	3.78	15.90	24.50		
Trade Payables	-	-	-	-		
Provisions	0.19	0.09	0.20	0.30		
Deferred Tax Liabilities	0.87	1.37	1.50	1.65		
Other Non-Current Liabilities	2.73	2.57	2.82	3.10		
Total Non-Current Liabilities	7.99	7.81	20.42	29.55	56.0%	39.0%
Current Liabilities						
Borrowings	0.71	0.80	0.95	1.15		
Trade Payables	2.62	12.12	10.68	14.96		
Other Current Liabilities	0.08	0.25	0.33	0.43		
Provisions	0.15	0.26	0.34	0.45		
Total Current Liabilities	3.56	13.43	12.30	16.99	8.0%	48.0%
TOTAL EQUITY AND LIABILITIES	33.77	44.16	64.78	94.42	29.0%	29.0%

- The company's equity share capital has increased from INR 10 Crs in FY'24 to INR 20 Crs in FY'26 the same was increased to finance the capital expenditure of the company.
- Till FY'24 the company did not have any borrowings which has increased to ~INR 5 Crs in FY'25, however the same has decreased in FY'26 to INR ~4.6 Crs.

Exhibit 3: Cash Flow Statement

Particulars (INR Cr)	FY'25	FY'26	FY'27E	FY'28E	3Y	4Y
Cash Flow from Operating Activities						
Operating Profit / (Loss) before WC Chang	1.35	2.88	21.93	38.33		
Cash Generated from Operations	4.61	4.41	15.64	24.84		
Less: Taxes Paid / Refund	(0.09)	(0.22)	(2.28)	(3.96)		
Cash Inflow / (Outflow) from Operating	4.52	4.19	13.36	20.88	71.0%	47.0%
Cash Flow from Investing Activities						
Purchase of PPE	(8.81)	(4.86)	(2.34)	(2.58)		
Proceeds from Sale of PPE	-	-	-	-		
Cash Flow from Investing Activities	(8.20)	(4.43)	(2.34)	(2.58)		
Cash Flow from Financing Activities	4.61	(0.46)	(0.51)	(0.56)		
Net Increase / (Decrease) in Cash & Ca	0.93	(0.70)	10.51	17.74		
Cash Flow Conversion (%)	587.0%	170.3%	100.6%	97.1%	123.0%	239.0%
Free Cash Flow	(4.29)	(0.67)	11.02	18.30		
FCF to PAT (%)	(1100.0%)	(124.1%)	120.6%	115.7%	38.0%	(246.0%)

In last 3 years the company has improved its cash flow from Operations substantially and its cash flow conversion has been really good. The same is visible in working capital cycle of the company which has improved in recent years.

5. Valuation

INR Cr	
Current Market Capitalisation	99.9
PE Post 1 Year	26
FY'27E Revenue	130
FY'27E PAT	9.14
Implied Market Cap	240
1 year upside	140%

Particulars	PE Ratio	PS Ratio
Veerhealth Care	26	1.88
Dabur India Ltd.	31	5.03
Marico Ltd.	44	7.62

Valuations wise company looks attractive and offers considerable upside to the investors despite the heavy run the stock has recently seen. Company is also at the lower valuation on PE ratio and PS Sales ratio when compared with peers like Dabur India and Marico Ltd.

Even if we see the Technical Chart of the stock in Weekly Time frame it is clearly in Stage 2. So it offers a comfort to the new investor to enter the stock at current levels.

6. Thesis Pointers

- **USFDA Approval** – It is very RARE for a small cap company to get stringent USFDA approval which Veerhealth Care has got which shows the quality and technical strength of the company.
- **Capacity Going-live** – Most of the capacity of the company has been established in the last 1 to 2 years and now it is getting lot of order from domestic as well as export customers. So we can say that company is at a great inflexion point.
- **Operating in a niche industry**
- **Robust Q1FY'27 performance which is expected to be continued in future quarters.**
- **Infusion of Equity funds through share warrants by the Promoters.**

7. Things to Track

- Capacity utilisation and New Orders being received by the company.
- Profitability margins
- Working capital cycle as the company has shown very volatile past performance.
- Capital allocation for future years and entry into new strategic markets.
- Distribution strategies of the company and traction from the Online marketplaces like Flipkart, Nykaa, etc.

8. Company's History

Veerhealth Care Limited is currently a public limited company actively **listed on the Bombay Stock Exchange (BSE)** under the scrip code 511523 having a **market capitalisation of INR ~98 Crore**.

Corporate Journey and Operational History

Veerhealth Care has undergone a **significant corporate evolution**, shifting from financial services to its current focus on natural healthcare and cosmetics.

➤ **Inception as Niyati leasing:**

The company was originally incorporated on July 10, 1992, under the name Niyati Leasing Limited with the primary objective of operating in the investment and finance sector.

➤ **Public Listing:**

Following its initial years of operation, the company completed its public listing on the BSE on September 6, 1994.

➤ **Transition to Niyati Industries:**

On March 27, 2007, the company received the fresh certificate of incorporation reflecting a name change to Niyati Industries Limited.

➤ **Pivot to Healthcare:**

In 2013, the management decided to completely diversify its business activities and align its operational focus with the **Ayurvedic and Herbal cosmetic sector**.

➤ **Establishment of Veerhealthcare:**

To reflect this new strategic direction, the company was officially renamed Veerhealth Care Limited on July 11, 2013.

Business Model and Value Proposition

Veerhealth Care operates a multifaceted business model that spans **proprietary brand sales, contract manufacturing for large pharmacy chains, and industrial backward integration**.

The core value proposition of the company centers on offering a wide range of premium and regular daily care products at highly competitive and affordable rates.

➤ **The Ayuveer Brand:**

The company markets its proprietary range of personal care and wellness products under the "Ayuveer" brand. These products are formulated using traditional Ayurvedic principles combined with modern herbal cosmetic standards.

➤ **Contract Manufacturing:**

Contract manufacturing serves as a cornerstone of the business, representing a substantial portion of overall production capacity. Veerhealth Care manufactures products for **prominent national and international brands, including Apollo Pharmacy, davaindia, Babuline Pharma, Godrej Consumer Products, BobBarker (America's leading detention supplier), Quest Healthcare, Zota healthcare Ltd., Sakar healthcare Ltd., Kayteestar Group, Aster Pharmacy, Bril, Amyras, Homeo Laboratories, Graciera Pharmaceuticals and Median Healthcare**.

➤ **Backward Integration via Veer Plast:**

To optimize manufacturing costs and ensure supply chain security, the company established the Veer Plast division. This division houses **in-house blow molding and injection molding machinery to produce plastic packaging materials internally**.

➤ **Hospital Care division:**

In December 2024, the company launched its **Hospital Care division with an initial internal funding outlay of INR 100 lakhs**. This division partners with major **medical manufacturers to supply critical care equipment**, such as ventilators, defibrillators, and infusion pumps, to hospitals and government organizations. **Management is increasingly prioritizing this segment**.

Business and Operating Segments

From an accounting and regulatory disclosure perspective, the company's organizational structure is highly consolidated.

➤ Healthcare Pharma Products:

This single segment is designated as "**Healthcare Pharma Products**" (also referred to as "**Ayurved Pharma Products**"), which consistently contributes **100% of the company's total operational turnover**. **Ayuveer is a vegan, cruelty-free and affordable personal care brand, offering a wide range of everyday personal care and beauty products designed to meet the evolving needs of modern consumers.**

➤ Geographical Concentration:

All of the company's physical manufacturing assets are domiciled within India, primarily cantered around its **production facility in Vapi, Gujarat.**

➤ Export Footprint:

Veerhealth Care actively services international markets through direct export channels. The company maintains active **export streams to the United States** and has recently **expanded into pediatric care shipments in African markets such as Sudan.**

9. Market Dynamics, Competitive Positioning and Moat Analysis

Niche Market Dynamics and Distinct Positioning

The **Indian AYUSH** manufacturing and services industry has **experienced robust growth**, with the manufacturing segment alone reaching USD 18 billion in 2020 and expanding to USD 24 billion by 2024. According to data from the IMARC Group, **the sector is projected to register a Compound Annual Growth Rate (CAGR) of approximately 17% during the 2024-2032 period.**

On a broader scale, the **overall AYUSH sector is on track to achieve a valuation of USD 70 billion by 2025.**

This momentum is supported by the Indian government's establishment of the Ministry of AYUSH, which actively sponsors research, promotes product standardization, and facilitates international marketing. Within this expanding landscape, **Veerhealth Care has carved out a unique positioning by focusing on pure vegetarian oral care and 100% cruelty-free Ayurvedic and cosmetic formulations.**

The company **targets high-volume export opportunities and contract manufacturing partnerships** alongside its proprietary "**Ayuveer**" brand. In the critical US market, Veerhealth Care's primary competitor is a large, established Indian FMCG player, as other Indian players face significant regulatory challenges with USFDA license renewals.

Company-Centric SWOT Analysis

Assessment of the Competitive Moat and Barriers to Entry

➤ USFDA Regulatory Clearance as a Barrier to Entry:

Securing **USFDA clearance for its Drug OTC segment products in June 2025 serves as a massive technical and regulatory barrier to entry.** Globally, **very few small-cap companies** have achieved a USFDA-cleared plant, placing Veerhealth Care in a highly distinctive competitive category. This audit closure under 21 CFR 20.64(d)(3) positions the company to compete directly with larger multinational players and attract high-volume institutional export orders.

➤ In-House Packaging Integration (VeerPlast):

The establishment of the "VeerPlast" division represents a powerful operational moat. By integrating blow molding and injection molding machines to produce packaging materials internally, Veerhealth Care has significantly decreased its reliance on third-party suppliers. This backward integration accelerates turnaround times, lowers manufacturing costs, and provides an end-to-end solution that competitors who rely on outsourced packaging cannot match.

➤ Sticky Institutional and Corporate Client Partnerships:

Veerhealth Care's contract manufacturing business is insulated by high customer switching costs. The company acts as a trusted partner for India's leading pharmacy networks, including Apollo Pharmacy, Aster Pharmacy, and davaindia.

Onboarding these corporate clients is a highly rigorous, multi-year process that requires intense facility audits, product qualification, and formulation validation. Once established, these relationships become highly sticky, providing the company with a predictable, repeating domestic revenue foundation.

➤ **Geopolitical and Tariff Trade Cost Advantages:**

The company's competitive moat in the US market is further reinforced by geopolitical factors. Due to the ongoing US-China tariff war, Indian products enjoy a significant cost advantage over Chinese exports. Specifically, Chinese exports face a 30% tariff over a 90-day period, whereas Indian exports face a much lower tariff of 10%, rendering Veerhealth Care's products approximately 20% cheaper for US buyers.

10. Capital Allocation

The company has **not distributed cash dividends or initiated share repurchases in the past financial years, opting instead to reinvest earnings into operational scaling.**

To reward public equity holders, the company **executed a 1:1 bonus share issue on September 22, 2023**, by capitalizing reserves. The company's **primary capital allocation priority is capital expenditure (CapEx) to support its physical facility upgrades in Vapi, Gujarat. CapEx payments for property, plant, and equipment surged from INR 82.55 Lakhs in FY24 to INR 880.91 Lakhs in FY25 to support compliance with USFDA standards.**

To secure subsequent expansion funding, the company approved the allotment of 10,000,000 fully convertible warrants at an issue price of INR 20.25 per warrant, of which promoters contributed 4,537,000 warrants.

11. Management, Ownership and Governance Profile

Veerhealth Care's leadership structure is relatively compact, blending promoter-family oversight with professional independent administration.

The Board of Directors comprises six members, structured to comply with Indian regulatory norms by maintaining an equal split between executive and non-executive directors.

Name	Designation / Category	Date of First Appointment	Qualification / Experience (summary)	Remuneration	Shares Held (30-June-2026)
Mr. Yogesh M. Shah	Chairman & Non-Executive Director	Not disclosed (pre-existing promoter director)	B.Com, Univ. of Mumbai; extensive experience in Accountancy & Taxation	Nil	32,86,184 (16.44%) (Incl. HUF)
Mr. Bhavin S. Shah	Managing Director	22-May-2013	M.Com, Mumbai University; 15+ yrs in production & procurement management, Operations	12,60,000	4,19,043 (2.09%) (Incl. HUF)
Mrs. Shruti A. Shah	Executive/Whole-time Director	12-Sep-2014	Bachelor in Financial Markets; 9+ yrs marketing experience; daughter of Mr. Yogesh M. Shah	6,27,000	657,800 (3.29%)
Mr. Chetan H. Mehta	Independent Director; Chairman — Audit Committee, NRC & SRC	14-Aug-2023	Practising Chartered Accountant; 10+ yrs experience incl. prior stint at Deutsche Bank	Nil	Nil
Mr. Prakashbhai C. Shah	Independent Director	14-Aug-2023	B.Com, LL.B; own business for 25+ yrs; legal & operations experience	Nil	Nil
Mr. Nilesh K. Shah	Independent Director	14-Aug-2023	B.Sc, Mumbai University; own agency business for 28+ yrs, marketing experience	Nil	Nil

Board balance: 6 directors — 2 Executive (incl. 1 woman director), 1 Non-Executive Non-Independent (Chairman), 3 Independent. Meets Reg. 17 SEBI LODR minimum (>=50% NED where Chairman is Non-Exec; woman director present).

Governance Standards and Auditor Review

Veerhealth Care operates a compliant and relatively clean governance profile, devoid of major shareholder disputes, regulatory penalties, or compliance defaults.

- **Clean Audit history:** The company's statutory auditors, M/s. Jayesh R. Shah & Co., issued an unmodified audit opinion on the financial statements for the fiscal year ended March 31, 2026.
- **No Regulatory penalties:** The company's annual secretariat filings confirm "Nil" cases of penalties, punishments, or compounding of offenses against the company, its directors, or defaulting officers under the Companies Act.

- **Investor Grievances:** The Stakeholders Relationship Committee reported that no investor grievances remained unresolved or pending for a period exceeding one month

12. Recent Developments

Stellar Q1 FY27 Performance Signaling Post-Expansion Scale-Up

Veerhealth Care Limited reported a remarkable financial performance for the first quarter of FY2026-27, demonstrating a **rapid operational scale-up after completing its facility renovations**.

Standalone total revenue surged to **INR 25.09 crore in Q1 FY27**, representing an **exceptional 388.13% year-on-year growth** compared to Q1FY26. Standalone EBITDA for the quarter reached **INR 2.07 crore**, achieving a significant **233.87% year-on-year increase**.

Net Profit (PAT) grew by 412.50% year-on-year to INR 1.23 crore, corresponding to a **PAT margin of 4.90%**. This strong quarter marks a sharp recovery from FY26, where annual profitability was weighed down by transient renovation disruptions, a foreign exchange loss of INR 0.31 crore, and a deferred tax provision of INR 0.49 crore.

Substantial Domestic and International Order Pipeline

The company has consistently **built momentum in its order book across domestic contract manufacturing and international export channels**.

- **Domestic Pharmacy Repeat Business:** On July 21, 2026, Veerhealth Care announced a **repeat order worth INR 1.10 crore from one of India's leading large-scale pharmacy and healthcare networks** for hair care and oralcare products.
- **FMCG and Cosmetic Collaborations:** In May 2026, the company secured a repeat order valued at INR 2.45 crore from a leading FMCG company for face care products. Additionally, in July 2026, Veerhealth Care obtained a contract manufacturing order worth INR 76.40 lakhs from another major FMCG player to produce skincare products under a newly designed MRP structure for brand promotion.
- **International Footprint:** In July 2026, the company entered the Sudanese market with an export order of pediatric Gripe Water valued at INR 15.74 Lakhs. For the US market, Veerhealth Care secured a body care export contract with a New York-based company aggregating to approximately INR 2.93 crore.

Strategic Capital Infusion and Promoter Commitment

To support its long-term **"Local to Global" growth ambitions**, Veerhealth Care has finalized key fundraising initiatives to strengthen its balance sheet.

On July 2, 2026, the **Preferential Issue Committee of the Board of Directors approved the allotment of 1,00,00,000 fully convertible warrants at an issue price of INR 20.25 per warrant**. Out of this allotment, the company's promoters subscribed to **45,37,000 warrants**, highlighting their long-term commitment and confidence in the business. These proceeds will be directed toward operational expansion, enhancing manufacturing capabilities at the newly expanded 90,000 sq. ft. Vapi plant, and improving shareholder book value.

Strategic Partnerships and Geographical Expansion

Veerhealth Care is actively positioning itself to **capture evolving global demand for Ayurvedic cosmetics and medical devices**. The company is in advanced negotiations with a **prominent Russian corporate group to export oral care products**. Furthermore, management expects **modern Ayurveda exports to benefit heavily from the India-EU Trade Deal 2026**, which **lowers tariffs and improves regulatory access to European markets**. The company has **Signed MOU with one of India's largest hotel amenities suppliers, backed by an Indo-Canadian joint venture**, to expand its institutional supply footprint.

13. Conclusion

Veerhealth Care Ltd. is a niche player operating in a competitive industry having various near term tailwinds like USFDA approval, focus of government in AYUSH industry, change in lifestyle and preference of the consumers towards organic products where Veer is operating.

The company has done a lot of Capex and we can say that it is at an inflexion point from where the company's financial performance can see a J-curve uptick if the management is able to execute well and given that the promoters have infused share warrants in the company it shows their confidence in the business.

So we are recommending **BUY** for Veerhealth Care because of various growth levers.

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